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This Month in Geopolitics: August 2026

Key events, themes and trends to watch in the month ahead

August 2026

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IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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At a Glance: Geopolitical events to watch in August 2026

Our monthly Look-Ahead covers a *non-exhaustive* list of key events, issues and themes to watch in the month ahead. The below map intends to serve as an executive summary, providing a list of the issues at a glance. These are covered in more detail in subsequent slides.



In the spotlight for August 2026: US-Iran peace talks and US trade policy



US-Iran war (all of August)

Expect more volatility – but also efforts to resume dialogue – during August. Tensions escalated significantly in July, with renewed military strikes and the US reimposing sanctions on Iranian oil sales. Both sides appear unwilling to concede for fear of losing ground. While President Trump has suggested that the ceasefire is over, **we retain our assessment that both parties are incentivized to find a near-term resolution** as kinetic attacks will not drive a resolution. That said, we should prepare for more volatility in the coming months as Iran is unwilling to cede control of the Strait of Hormuz and neither side is prepared to lose face. The Yemen-based **Houthi blockade of Saudi Arabia**, announced on 20 July, further heightens risks by threatening crude oil flows via Saudi Arabia's Yanbu on the Red Sea (see map), a terminal which handles about 4 million barrels of crude oil and condensate exports per day.

The persistent security risks will likely continue to drive the Gulf states to reduce their vulnerability to the Strait of Hormuz. Shipping levels through the Strait will periodically be impacted by Iranian threats to navigation and political considerations. Even once dialogue resumes and fighting subsides, **traffic will likely take time to recover** given the challenges of de-mining, a lack of trust between the US and Iran, and Iranian threats. Infrastructure repair to ports, terminals and energy infrastructure, as well as the provision of security guarantees are other factors to watch. Full operational normalization, involving infrastructure repairs, [is not expected](#) until 2027 and beyond.

US trade policy (all of August)

When the US 10% global Section 122 tariffs expired **on 24 July**, the Trump administration moved quickly to fill the gap with Section 301 tariffs of 10-12.5% on more than 60 countries. In August, we should expect the Trump administration to **keep building its replacement “permanent tariff framework”** using Section 301 and 232 authorities. The USTR's Section 301 investigations into “structural excess capacity” in 16 manufacturing-heavy economies remains ongoing and could yield new tariffs in the coming weeks. The Trump administration is also pursuing several Section 232 national security investigations with scheduled tariff effective dates of 31 July and 29 Sept. This should keep pressure on countries to strike bilateral deals favorable to the US, spanning trade, investment, industrial and technology concessions.

To watch will be movement on unresolved country-specific issues, e.g., India's tariff talks, the EU's proposed 30% tariff, in addition to continued legal uncertainty as court appeals over the tariffs' legal basis play out. This will set a complex backdrop to the G20 finance ministers' meeting where trade protectionism is already shaping up to be a point of friction.

Key regional ports in the Persian Gulf



Source: Deutsche Bank. For more on the impact of the Iran conflict, see [Twenty Miles That Shook the World - Deutsche Bank Research Institute](#)

Key events, issues and themes to watch in August 2026

Listed in chronological order



US-Mexico-Canada trade talks (all of August)

The renewal talks are expected to be challenging and potentially protracted. 1 July marked the start of the US-Mexico-Canada (USMCA) trade deal's mandatory six-year joint review process whereby the three countries are required to assess whether to extend the agreement for another 16 years, review it or allow it to move into annual review mode. The US has declined to confirm the renewal of USMCA "in its current form".

In August, we expect further US-Mexico-Canada negotiations focused on resolving outstanding issues (e.g., automotive rules of origin, steel/aluminum, economic security, and issues around agriculture, labour and environment). At the G7 summit, Canada and the US agreed to a 30-day countdown for a new cross-border economic/security agreement, which was extended to 1 August.

In any case, Mexico and Canada are both subject to a 10% Section 301 tariff that took effect on 24 July. In addition, the US 50% tariffs on a range of Canadian goods announced on 20 July, and additional Section 232 investigations (lumber, copper, semiconductors, pharmaceuticals, trucks, critical minerals, etc.) could complicate talks further as Mexico and Canada are top exporters in several of these sectors. The Trump administration is also using the review to push non-trade demands on migration, drug trafficking and defence cooperation.

First weeks of new UK Prime Minister (all of August)

Andy Burnham became the UK's 7th Prime Minister since 2016 on 20 July. He enters office facing a sluggish economy, cost-of-living pressures, and a massive welfare bill. He has pledged this moment as a "circuit-breaker" for Britain and has quickly set out to focus on concrete cost of living measures. In August, we can expect Mr. Burnham to be busy with the early scaffolding for his "No. 10 North" project focused on devolution of power. Mr. Burnham has signaled his priorities will be cost-of-living issues, devolution, public control of essentials, social commitments and longer-term structural reform. UK parliament is typically in summer recess through August, which limits legislative action but gives Mr. Burnham room to set the tone for his premiership with an intention to move quickly on key commitments in the autumn.



Prime Minister Andy Burnham was sworn in on 20 July. Source: [House of Commons](#)

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China-US talks ahead of next Xi-Trump summit (all of August)

Bilateral dialogue to tee up deliverables for the 24 September summit will be a key watchpoint during August. Recent developments – including US allegations of [election interference](#) and warnings over [Chinese AI models](#) – reinforce our view that relations remain structurally competitive despite the recent stabilisation in ties. Investors should anticipate more, not fewer, bilateral economic restrictions over the medium term.

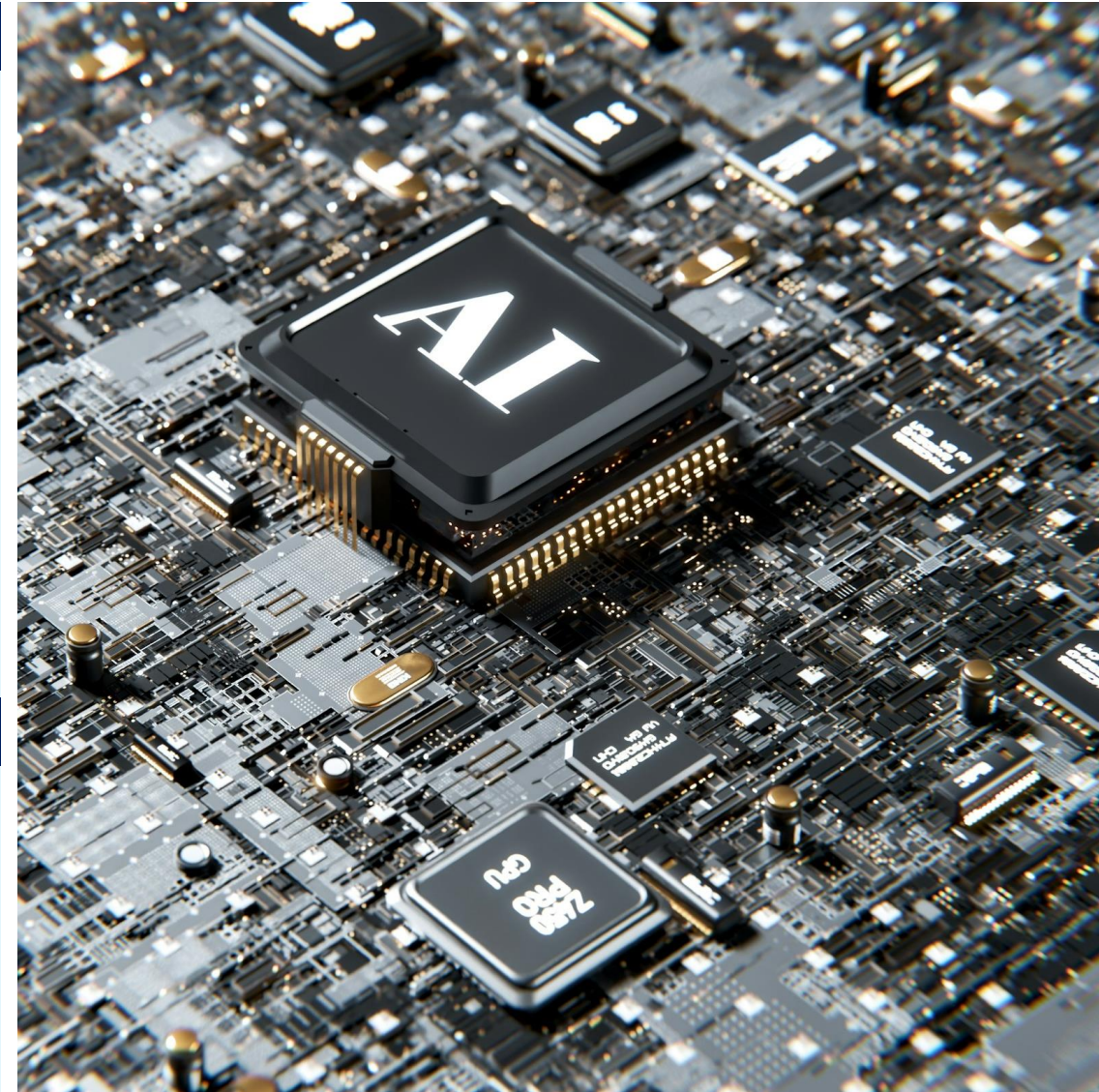
Nevertheless, there is currently no evidence to suggest these dynamics are likely to delay the next Xi-Trump summit, which will likely go ahead as planned on 24 September. During August, investors should watch for any sign of progress on talks on the Board of Trade (intended to boost non-sensitive trade), Board of Investment (to facilitate investment in non-sensitive areas) and an extension of the Busan agreement – which delayed a range of new economic restrictions until November 2026.

Both sides could also strengthen commitments around AI dialogue, with first talks [reportedly](#) expected to happen ahead of the summit. Dialogue on AI was a key deliverable from the May Xi-Trump summit, and both sides could seek to address persistent tensions around the technology, although a major breakthrough appears unlikely.

China's leaders gather for summer retreat in Beidaihe (early August)

The retreat provides an opportunity for Party leaders to exchange views on major policy issues. This year's meeting could potentially cover topics ranging from the conflict in Iran, relations with the EU and US, the implementation of the 15th Five-Year Plan (2026-2031) and early deliberations around the next Party Congress in late 2027.

The retreat primarily serves as an opportunity for internal alignment and consensus building on key domestic and external policy issues. There are no official readouts, but subsequent state media framing, leadership signals, and Party meetings in the autumn could offer clues on the direction of policy debate.



Source: [Igor Omilaeu](#) on [Unsplash](#)

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Abelardo de la Espriella inaugurated as Colombia's next president (7 August)

The president's early agenda is expected to include significant policy shifts, including a planned urban security coordination mechanism for major cities; a more pro-US and pro-Israel foreign policy stance; and a review of Colombia's diplomatic posture toward Cuba, Nicaragua, Venezuela and multilateral bodies. Key watchpoints over the next 2-3 months will include cabinet formation and congressional coalition-building. The incoming administration has also vowed to disrupt narcotics production and trafficking, and counter violence by armed groups operating in parts of the country – including in a bid to attract more foreign investment.

Kazakhstan legislative elections (23 August)

Kazakhstan will elect all 145 deputies to the newly-created Kurultai. This will be the first election to the new unicameral legislature established after March 2026 constitutional reforms replaced the old bicameral parliament. These elections are unlikely to materially impact governance in the country with President Tokayev remaining firmly in control of the political system. Kazakhstan's constitutional court ruled that president Tokayev may seek another term under the new 2026 constitution, effectively resetting his term count despite having been elected in 2022 to what was billed as a single, non-renewable seven-year term ending 2029. While the election itself is unlikely to produce policy surprises, it will be an indicator of the government's ability to manage the political transition under the new constitutional framework and maintain domestic stability.

Iceland referendum on resuming EU accession talks (29 August)

Iceland will hold a referendum asking voters whether the country should resume EU accession negotiations. Iceland had applied to join the EU in 2009, but suspended accession talks in 2013 after a change of government and later withdrew the application.

The current coalition government pledged to finally let voters decide, and accelerated the timeline partly due to shifting geopolitical dynamics, including US tariff hikes and Trump administration statements on acquiring Greenland. Polling is tight with surveys showing 52% in favor with 28% opposed. A vote to resume negotiations would not commit Iceland to EU membership but would mark a significant shift in the country's strategic orientation.



Abelardo de la Espriella will be inaugurated as Colombia's next president on 7 August. Source: [Wikimedia Commons](#)

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G20 Meeting of Finance Ministers and Central Bank Governors (31 Aug to 1 Sep)

This will be a key checkpoint in the US' G20 presidency, where Washington sets the agenda for global economic policy coordination among the world's largest economies. The US has identified as its priorities: modernizing financial regulation, strengthening understanding of excessive global imbalances, enhancing debt transparency and facilitating debt restructuring, endorsing digital assets and improving cross-border payments. Treasury Secretary Scott Bessent has sought a “streamlined, results-oriented” agenda.

The first G20 finance ministers meeting under the US presidency in April failed to produce a joint communiqué or chair statement and no joint press conference was held at the end. The current crisis in the Middle East amongst other geopolitical developments may crowd out purely technical finance discussions.

Washington's tighter focus may clash with other members who still want to discuss debt relief for developing countries, climate finance and inequality. With a US leadership openly skeptical of the G20's broader mission, to watch will be how much substantive coordination is feasible.



Source: [Giorgio Trovato](#) on [Unsplash](#)

Appendix 1



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